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KSE-100 V

175,803

▼ 1.30% · Fri close

S&P 500 V

7,475.69

▼ 1.0% · wk -1.6%

US 10Y / 2Y V

4.55 / 4.18

curve +37 bps

BRENT / WTI V

\$90.87 / \$84.84

▲ 3.1% / 2.9%

GOLD V

\$4,000.55

▼ 0.4% · wk -2.5%

USD/PKR V

277.96

▲ Re0.01

01 Five Things You Need To Know To Start Your Day

THE OVERNIGHT TAPE

Wall Street closed out its first losing week in three. The **S&P 500 fell 76.08 pts (-1.0%) to 7,475.69**, the **Dow -406.55 (-0.8%) to 52,146.42** and the **Nasdaq -361.70 (-1.4%) to 25,520.24** on Friday, per [AP/Barchart](#). On the week: S&P **-1.6%**, Dow **-0.9%**, Nasdaq **-2.9%** as the AI/semiconductor complex was sold hard. **[V]** Sentiment: **risk-off**.

ENERGY — THE DRIVER

Brent broke \$90, climbing \$2.77 (+3.14%) to **\$90.87** Monday morning — the highest since 11 June — after **+15.9% last week, its biggest weekly gain since April**; WTI +2.85% to **\$84.84** ([Reuters via Business Recorder](#)). Only four vessels transited the Strait of Hormuz on Sunday versus eight the prior day; Barclays warns inventories are **the tightest of the past five years**. **[V]** Sentiment: **supply-shock risk premium**.

MONETARY REGIME SHIFT

This is the line that matters. **Cleveland Fed President Beth Hammack has joined a growing chorus arguing rates may need to rise** to beat back persistent inflation — setting up a charged debate and the possibility of dissents at Chair **Kevin Warsh's** second meeting ([Reuters](#)). Gold slipped 0.4% to **\$4,000.55** after a 2.5% weekly loss; silver bucked it at **\$56.42** (+0.9%). **[V]** Sentiment: **hawkish repricing risk**.

LOCAL MARKET

The **KSE-100 shed 2,320.78 pts (-1.30%) to 175,802.78** on Friday, reversing most of Thursday's +2,837 rally; the week closed **-3.5%** ([Business Recorder](#)). Breadth was ugly — **101 up, 367 down** of 497 traded — volume thinned to **621.02mn** (from 736.95mn) on Rs29.88bn. **ENGROH, SYS, UBL, OGDC and PPL alone took 694 pts off the index** (Topline). **[V]** Sentiment: **defensive**.

PAKISTAN POLICY

Two things landed at once. The cabinet **approved daily petroleum pricing** — OGRA will publish rates every day off a seven-day international average, replacing the fortnightly regime ([Profit/Pakistan Today](#)) — and the first prints were steep: **diesel +Rs31.05 to Rs354.35/L, petrol +Rs5.44 to Rs316.15/L**. Separately, **FY26 closed with a current-account deficit of just \$139mn** as record remittances nearly offset an import surge ([Business Recorder](#)). **[V]** Sentiment: **externally resilient, inflation-exposed**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: The **SBP held the policy rate at 11.50%** on 15 June, judging the stance appropriate to steer inflation back to the 5–7% target band [V]. **June CPI eased to 11.1% y/y** from 11.7% in May, with core at 8.7% (May). **FY26 real GDP is provisionally 3.7%** (up from 3.2% in FY25), large-scale manufacturing +6.5% Jul–Mar. Reserves reached **\$17.2bn at 5 June** and were projected at **\$18bn by end-June** after successful **IMF EFF and RSF reviews**. The MPC expects inflation to stay in double digits for the next few months. **Next MPC: 27 July 2026**. The live risk is the fuel pass-through: a \$90 Brent plus daily pricing is a faster, more visible inflation transmission channel than the old fortnightly lag.

- **Selling at bourse, KSE-100 settles 2,300 points lower** — index hit an intraday high of 178,694.48 before breaking down to close near the day's low of 175,790.62.
- **Record remittances fail to offset import surge as Pakistan posts \$139mn C/A deficit in FY26** — a strikingly small deficit, but the FY27 energy bill is the variable to watch.
- **Regional supply disruptions force Agritech to halt urea plant** — the first clear domestic industrial casualty of the Gulf disruption; fertiliser supply is now a watch item.

B. GCC & Middle East

A sharp two-speed Gulf. Saudi Arabia's non-oil PMI rose to 53.3 in June from 52.8 — a four-month high, with new business at a four-month high and the Future Output Index the strongest since January [V]. But the rest of the bloc is absorbing the war: the **UAE non-oil PMI fell to 50.8 from 52.6**, the weakest since February 2021, with the labour market contracting for the first time in over four years; **Kuwait and Qatar remain in contraction (AGBI, S&P Global)**. Read-through: Saudi domestic demand and Vision-2030 spend are holding the line, while trade- and logistics-levered Gulf economies are being squeezed by disrupted supply chains and higher input costs.

- **Saudi Arabia bucks slowdown while war weighs on Gulf PMI** — divergence, not a regional recession, is the correct frame for H2.
- **US launches ninth night of strikes on Iran as it hits out at Gulf neighbours** — Kuwait and Bahrain reported further Iranian strikes over the weekend; the conflict is now a Gulf-wide, not bilateral, risk.

C. Global Intelligence

Wall Street & global hubs: The **10-year Treasury closed Friday at 4.55% and the 2-year at 4.18%** — a **+37 bps** positive slope [V]. The market's working assumption of a benign easing path is now under real challenge: an oil-driven inflation impulse is arriving exactly as multiple Fed officials float hikes. US consumer sentiment hit a five-month high in July, but Reuters notes the improvement is likely temporary as the conflict pushes gasoline prices up. A packed week of major tech earnings will further test faith in the AI trade after last week's semiconductor drawdown.

- **Dow, S&P 500, Nasdaq post weekly losses as semiconductors get smoked** — rotation out of chips and into banks after robust lender earnings.
- **Iran's Guards say two oil tankers 'exploded' in southern Strait of Hormuz** — unverified by Reuters, but the shipping-insurance and freight-rate consequences are already being priced.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	<u>Daily petroleum pricing</u> — cabinet-approved; OGRA publishes retail fuel prices daily off a seven-day international average, effective 18 July 2026, replacing the fortnightly regime.	OMCs, Refineries, Transport & Logistics, FMCG, Households	Wins: refiners and OMCs — faster pass-through, materially lower inventory-loss risk in a volatile crude tape (PRL, CENERGY, PSO). Losses: households and transport-heavy manufacturers face continuous price volatility with no lag to absorb it; expect a quicker, sharper CPI transmission into the July–September prints.
GCC — UAE	<u>Cabinet Resolution No. 59 of 2026</u> — Executive Regulations to the Competition Law (Federal Decree-Law No. 36 of 2023), in force 30 July 2026.	M&A, Retail & Distribution, Legal/ Compliance, Family Offices	Losses: acquisitive groups and distributors — a raised compliance burden across pricing, market conduct, commercial agreements and merger control, with new filing thresholds to clear before deals close. Wins: regional legal, antitrust-economics and compliance advisory; smaller challengers gain protection from exclusionary distribution terms.
Global — South Korea	<u>Temporary ban on new ETF listings</u> tied to certain major technology firms, plus raised minimum retail deposit requirements for such products (announced 16 July 2026).	Asset Managers, ETF Issuers, Retail Brokerage, Global Tech Flows	Losses: Korean ETF issuers and retail brokerages lose a high-margin product pipeline; leveraged single-stock tech flows are curtailed at the margin. Wins: financial-stability objectives and diversified fund providers. A notable precedent — regulators are now treating concentrated AI/tech retail exposure as a systemic-volatility problem, not just an investor-suitability one.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

173,500

last week's panic low was 173,519 **[V]** — the line that must hold

PIVOT EST.

175,800

Friday's close; reclaiming it turns the tape neutral

RESISTANCE EST.

178,700

Friday's intraday high of 178,694 **[V]**

Desk stance — cautious, not bearish. The macro chassis under Pakistan is genuinely sound: an \$139mn full-year current-account deficit, 3.7% FY26 growth, reserves rebuilt to roughly \$18bn and IMF reviews cleared. What is deteriorating is entirely imported — a \$90 Brent, a hawkish turn in Fed rhetoric and a Gulf conflict with no de-escalation priced in. Let earnings season, not headlines, set positioning: banks hold the cleanest visibility, E&Ps and refiners are the natural crude hedge, and cyclicals levered to imported energy are where margin damage lands first. Watch the **27 July MPC** — double-digit CPI plus daily fuel pass-through makes the "hold" less automatic than it looked a month ago. **All levels are indicative desk estimates, not recommendations.**

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